Grupo Bimbo, S.A.B. de C.V. | ESG Scores Raw Data

BMV:BIMBO A (MI KEY: 4276592; SPCIQ KEY: 877906; TCUID: 53231)

Public

Year: Methodology Year: 2022
Question: No Deforestation Commitment
Include Modeled Scores : Yes

No Deforestation Commitment

Question

Does the company have a commitment on no-deforestation and is it available publicly?

Rationale

No deforestation commitments are voluntary sustainability initiatives adopted by companies to signal the intention to end all deforestation in their supply chains. Commitments to end all deforestation that have targets set with immediate deadlines and clear sanction-based implementation mechanisms in biomes with a high risk of forest commodity conversion can be effective tools to achieve deforestation-free value chains. Engagement with external stakeholders and with the entire supply chain exposed to deforestation risks, as well as monitoring and disclosure of compliance, further support effective implementation of no-deforestation commitments.

Performance Summary	
Question Level Company Performance	51
Question Weight	35
Year-on-Year Change	15
Industry Average Score	8
Industry Highest Score	100

The question layout and the company's verified information is provided below. No information is shown if the company did not provide any information or if it opted out of sharing non-public information.

Additional Question Guidance & Information Display

Key Definitions

Natural Capital: Is another term for the stock of renewable and non-renewable natural resources on earth (e.g., plants, animals, air, water, soils, minerals) that combine to yield a flow of benefits or "services" to people. These flows can be ecosystem services or abiotic services, which provide value to business and to society.

Ecosystem services: Are the benefits to people from ecosystems, such as timber, fiber, pollination, water regulation, climate regulation, recreation, mental health, and others.

Abiotic services: Are benefits to people that do not depend on ecological processes but arise from fundamental geological processes and include the supply of minerals, metals, and oil and gas, as well as geothermal heat, wind, tides, and the annual seasons.

Biodiversity: Is critical to the health and stability of natural capital as it provides resilience to shocks like floods and droughts, and it supports fundamental processes such as the carbon and water cycles as well as soil formation. Biodiversity is therefore both a part of natural capital and also underpins ecosystem services.

Operational Activities: Includes any business activity which directly impacts natural capital through operations, or indirectly by relying on critical commodities in its supply chain. Such activities may include production, extraction, plantation, construction, power generation, transmission, or development activities.

No gross deforestation: Also referred to as zero or zero-gross deforestation, it refers to voluntary commitments to stop or reduce all deforestation associated with commodities that they produce, trade, and/or sell.

No net deforestation: Also referred to as zero-net deforestation, these are promises of future reforestation to compensate current forest loss, while future implementation deadlines allow for preemptive clearing.

Quantitative progress: Companies are expected to report on progress toward no deforestation commitments and interim milestones without having to rely on proxies, such as progress towards sustainable commodity milestones.

Scope of commitment: Effective commitments to end deforestation must cover all products & services, and be applicable to all suppliers and partners. Failure to indicate complete coverage and applicability to the value chain results in uncertainty.

Products & Services: Refers to direct activities: own employees, own business, subsidiaries, own products and services, business units, regions, sites. In this option, we particularly look for evidence for suppliers of 'risk' commodities such as cattle, soy, palm and pulp, paper and timber (PPT) products.

Suppliers: Refers to the combination of:

- Tier-1 suppliers that directly supply goods, materials or services (including intellectual property (IP) / patents) to the company
- Non tier-1 suppliers that provide their products and services to the supplier at the next level in the chain - i.e. Tier 2 or lower

Suppliers may include brokers, consultants, contractors, distributors, franchisees or licensees, home workers, independent contractors, manufacturers, primary producers, sub-contractors, and wholesalers.

Compliance monitoring systems: systems that provide data and tools for monitoring forests allowing for effective monitoring of supply chain compliance with no-deforestation commitments.

Forest regulation and mandatory standards: Examples of country-specific laws include forest laws in Argentina and Paraguay, as well as the Brazilian Forest Code and Australia Illegal Logging Prohibition Act. Commodity specific standards include EU Timber regulation, CITES, ISPO, and MSPO.

Data Requirements

This question may be marked "Not applicable", if any of the factors below apply to your company. Please provide an explanation in the comment box at the end of the question:

- Your company only operates in urban environments AND is not dependent on ecosystem and/or abiotic services, either in its own operations or supply chain
- Your company is only involved in operational activities which are not dependent on ecosystem and/or abiotic services, either in its own operations or supply chain.

Please note that we require publicly available information for each of the options.

Commitment

- **Option 1 - Indicate the extent of your commitment to no deforestation:** Please indicate the type of commitment to deforestation which you report on in the public domain. If your commitment differs from a 'no deforestation' commitment (e.g. No Deforestation, No Peat, No Exploitation (NPDE)), please select 'Other commitment' and provide a description of your commitment
- **Option 3 - Quantitative progress (in percent) towards the full implementation of your commitment in the recent financial year:** Please provide quantitative information (in percent) on the progress made towards your commitment. If your company only reports progress in terms of compliant volumes, then please provide an estimated percentage with your justification in the comment section at the bottom of the question.

Companies in the 'FRP - Paper & Forest Products industry' may report progress using certifications as a proxy if the evidence is available that all products are covered by certifications (which includes a chain of custody).

Scope of commitment

- **Option 1 - Requirements of own operations:** Please provide publicly available evidence that your commitment covers all products & services. If this cannot be verified, the option can't be accepted
- **Option 3 - Requirement of non-tier-1 suppliers:** Please provide publicly available evidence that your commitment is also applicable to tier-2 (or lower) suppliers. If this can't be verified, the option cannot be accepted

Compliance & Monitoring

- **Option 1 - Monitoring system used to ensure compliance to group-wide commitment:** Please provide public information on monitoring systems used to ensure compliance with your no-deforestation commitments.
- **Option 2 - Group-wide compliance with forest regulations and/or mandatory standards:** Please provide public information on your compliance with forest regulations and/or mandatory standards.
- **Option 3 -Engagement with suppliers and/or partners to manage and mitigate deforestation risks:** Please provide examples in your public reporting of engagement with your suppliers and/or partners to manage and mitigate deforestation risks.

Industry-Specific Guidance

Treatment of Utilities

Companies in the Utilities sector (ELC, GAS, MUW) that are mandated to provide services which might imply deforestation are still expected to compensate for any current forest losses by future reforestation (i.e. No net deforestation commitment).

Multi and Water Utilities (MUW)

- Pure water utilities should mark "Not Applicable"

Real Estate (REA)

- "Not Applicable" is acceptable if supporting information confirms that your company only operates in urban areas and/or have nothing to do with construction

Standards & frameworks

CDP Forest - F0.4, F1.5, F4.5a, F4.6b, F6.1, F6.1a, F6.4, F6.4a, F6.5, F6.6, F6.8

UNGC Questionnaire - E1, E1.1, E16

Data View

QUESTION LEVEL INPUT	COMPANY ANSWER
No-deforestation commitment in place	Applicable
Company indicates the extent of the no-deforestation commitment	YES
Company commits to end all deforestation (no GROSS deforestation)	-
Company commits to compensate with future reforestation (no NET deforestation)	-
Company has a commitment to no-deforestation other than No NET or No GROSS deforestation	YES
Company has a target year for full implementation of the no-deforestation commitment	YES
Target year for full implementation of no-deforestation commitment (Calendar Year)	2025
Company has progressed on the full implementation of no-deforestation commitment	YES
Percentage of quantitative progress on the full implementation of no-deforestation commitment	75
No-deforestation commitment requirement for own operations	-
No-deforestation commitment requirement for tier 1 suppliers	-
No-deforestation commitment requirement for non-tier 1 suppliers	-
Company has a monitoring system used to ensure compliance to group-wide no-deforestation commitment	YES
Company disclosure on group-wide compliance with forest regulations and/or mandatory standards	-
Company engages with suppliers and/or partners to manage and mitigate deforestation risks	YES

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Questionnaire

Does your company have a publicly available no-deforestation commitment for your company's own operational activities, and is this commitment applicable to your company's supply chain?

1. (•) Yes, we have a no-deforestation commitment.

Commitment

Please provide details of your group-wide and time-bound zero deforestation commitment, as well as the progress made towards this target in the recent financial year.

1. [x] Indicate the extent of your commitment to no deforestation:
   1. [ ] Commitment to end all deforestation (no gross deforestation)
   2. [ ] Commitment to compensate with future reforestation (no net deforestation)
   3. [x] Other commitment. Please describe:
2. [x] Target year for full implementation of your no-deforestation commitment:
   2025
3. [x] Quantitative progress (in percent) towards the full implementation of your commitment in the recent financial year:
   75

Scope of commitment

Please indicate the scope of your commitment

1. [ ] Requirement of own operations
2. [ ] Requirement of tier-1 suppliers
3. [ ] Requirement of non tier-1 suppliers

Compliance & Monitoring

Please indicate if you disclose information on the monitoring systems used to ensure group-wide compliance with your no-deforestation commitment, and forest regulation and/or mandatory standards.

1. [x] Monitoring system used to ensure compliance to group-wide commitment
2. [ ] Group-wide compliance with forest regulations and/or mandatory standards
3. [x] Engagement with suppliers and/or partners to manage and mitigate deforestation risks

2. ( ) No, we don't have a commitment to end deforestation
3. ( ) Not applicable. Please provide explanations in the comment box below
4. ( ) Not known

Confidential additional comments

Use the text field below only in the following cases: (i) to describe significant changes in data or calculation methodology compared to last year's submission, (ii) to explain why a question is not applicable to your company's business model, (iii) to explain if your data deviates from the unit or format requested, or (iv) to provide supporting notes on translations of non-English references.